Q12

Stakeholders are often interested in an entity's claims concerning purpose, values and strategy. Many stakeholders are keen to ensure that their values are aligned with those of the counterparts with whom they do business. [1]

Refusing to publish a statement could cost the entity business if, say, a potential customer has made public commitments that satisfy its concerns with regard to, say, employee's rights. [1]

Refusal to volunteer this information could imply that the entity has reason to believe that potential stakeholders will be unwilling to work with it. [1]

The lack of a comprehensive statement implies that the entity's progress towards achieving its purpose, values and strategy cannot be monitored and measured. [1]

If the board is perceived as being unwilling to be transparent in those areas then it is likely that they will be perceived as lacking in confidence. [1]

[Maximum 5]

[Total 5]

Commentary:
Many candidates discussed the points in the examiner's solution fairly well. *Most candidates mentioned the lack of transparency which could make shareholders lack confidence in the company.*